- **Creditors:** The person or a company to whom the money owes.
- **Director's Fees:** Fees paid to the Company Director for attending the meeting.
- **Wages:** Remuneration paid by the employer to the worker for the work done.

EVALUATION

RQ7J39

I. Multiple Choice Questions.

1. Vouching implies _____
   (a) Inspection of receipts
   (b) Examination of vouchers to check authenticity of records
   (c) Surprise checking of accounting records
   (d) Examining the various assets

2. Payment for goods purchased should be vouched with the help of _____
   (a) Creditors statement
   (b) Correspondence with suppliers
   (c) Cash memos
   (d) Ledger accounts

3. Payment for wages should be vouched with the help of _____
   (a) Working hours statement
   (b) Wage sheets
   (c) Minutes book
   (d) Bank pass book

4. Payment for building purchased should be vouched with the help of
   (a) Title deed
   (b) Correspondence with Brokers
   (c) Building account
   (d) Cash book

5. Process of checking the evidence of the entries called _____.
   (a) Verification
   (b) Observation
   (c) Vouching
   (d) Inspection

6. Voucher should be addressed to the _____.
   (a) Auditor
   (b) Client
   (c) Employee
   (d) Worker

7. Serial number of vouchers should be _____.
   (a) Colored
   (b) Continuous
   (c) Even number
   (d) Odd number

8. Which of the point is not to be considered while checking a voucher?
   (a) Name of party
   (b) Serial number of voucher
   (c) Credit period of payment
   (d) Accounting entry

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